

Vietnam 2045: Escaping the Middle-Income Trap on the Path to High-Income Status

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Abstract

This paper builds on the author’s mid-term analysis of Vietnam’s rapid economic growth over recent decades and examines the feasibility of Vietnam’s ambition to attain high-income status by 2045, as articulated in the *Vietnam 2045* development vision. While Vietnam has successfully escaped the poverty trap following the Đổi Mới reforms, sustaining convergence at higher income levels requires a fundamental shift in the drivers and quality of growth.

The paper situates Vietnam’s challenge within the broader framework of the middle-income trap, emphasizing the structural and institutional factors that cause growth slowdowns after initial development success. Drawing on comparative experience from Southeast Asia, it examines why economies such as Thailand struggled to transition beyond middle-income status, while South Korea successfully escaped the trap through productivity-led growth, industrial upgrading, and institutional reform.

Against this backdrop, the paper analyzes Vietnam’s current development model and identifies key structural constraints, including input-driven growth, declining productivity contributions, limited domestic value addition in global value chains, state-owned enterprise (SOE) distortions, human capital bottlenecks, and emerging demographic and energy constraints. The analysis suggests that, without decisive reforms, Vietnam faces a significant risk of middle-income stagnation.

Finally, the paper outlines a set of policy priorities—conceptualized as a potential *Second Đổi Mới*, focused on productivity enhancement, institutional reform, human capital development, and upgrading within global value chains. It argues that the successful implementation of these reforms is critical for Vietnam to sustain convergence and realistically achieve high-income status by 2045.

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1 Introduction

Vietnam 2045 marks the centennial of Vietnam's independence and represents a symbolic milestone for the country's long-term development ambitions. To commemorate this anniversary, Vietnam has articulated an ambitious objective: achieving high-income status by 2045. Following the implementation of the Đổi Mới reforms in 1986, Vietnam successfully escaped the poverty trap and sustained rapid growth for several decades. However, as income levels rise, maintaining high growth becomes increasingly challenging. Sustained convergence toward high-income status requires a transition away from growth based on factor accumulation toward productivity-, technology- and skill-based development. The central question is therefore whether Vietnam can sustain sufficiently rapid and qualitatively different growth over the coming decades to realize this goal.

According to the World Bank (2024)'s income classification, countries are grouped into four categories: low-income, lower-middle-income, upper-middle-income, and high-income economies. Vietnam reached a gross national income (GNI) per capita of USD 4,490 in 2024, placing it at the threshold of upper-middle-income status. Under the World Bank definition, attaining high-income status by 2045 would require increasing GNI per capita to approximately USD 13,936 within roughly two decades. Estimates in the literature suggest that this implies sustaining an average annual growth rate of over 5 percent during this period, slightly above Vietnam's average growth over the past 25 years. While demanding, this target is not unprecedented. Nevertheless, economic growth rates alone are insufficient to guarantee success at this stage of development, as sustained convergence increasingly depends on productivity growth, institutional quality, and the ability to generate new comparative advantages.

Vietnam's challenge must be understood in a broader Southeast Asian context. Several neighboring economies, notably Thailand, Malaysia, and the Philippines, entered periods of rapid growth earlier than Vietnam and pursued

Table 1: World Bank Income Classification by GNI per Capita

Income Group	GNI per Capita (USD)
Low income	$\leq 1,135$
Lower-middle income	1,136 – 4,495
Upper-middle income	4,496 – 13,935
High income	$\geq 13,936$

similar development strategies based on export-oriented industrialization and integration into global markets. While these strategies initially delivered strong growth, many of these economies struggled to sustain convergence as wages rose and the returns to capital accumulation declined. In the absence of a decisive shift toward productivity-led growth and higher value-added activities, income convergence slowed, leaving several economies at the middle-income level for extended periods as seen in Tran (2013a).

Not all Asian economies, however, followed this trajectory. South Korea provides a prominent counterexample, having transitioned to high-income status within a relatively short period by reorienting its growth model toward industrial upgrading, innovation, and human capital accumulation, noted in Ohno (2024). This contrast highlights the importance of structural transformation and institutional reform in determining whether middle-income economies continue to converge or stagnate.

The contrast between South Korea and many Southeast Asian middle-income economies offers important lessons for Vietnam. While countries such as Thailand, Malaysia, and the Philippines benefited from an earlier developmental head start, their experiences illustrate how growth can stall when structural transformation, innovation capacity, and institutional reform fail to keep pace with rising factor costs. In many cases, growth slowdowns were not driven solely by economic factors but were reinforced by institutional and political economy constraints, including weak corporate governance, misallocation of resources, limited competition, and the protection of vested interests

This comparative perspective raises a central question for Vietnam’s 2045 ambition: is Vietnam following a trajectory similar to that of Southeast Asian economies that became trapped at the middle-income level, or can it alter its development path in time? Several warning signs identified in the literature, such as increasingly input-driven growth, declining total factor productivity, limited domestic value addition within global value chains, and institutional distortions linked to state-owned enterprises, are also present in Vietnam today as mentioned by Nguyen et al. (2012). At the same time, Vietnam retains a window of opportunity. By learning from both successful and unsuccessful regional experiences, Vietnam can identify the policy, institutional, and structural reforms required to shift toward productivity-driven growth and sustained competitiveness.

Beyond its economic dimension, the 2045 target also carries political and symbolic significance, as the ability to deliver continued income convergence is closely tied to the credibility of Vietnam’s development strategy and long-term policy legitimacy.

Against this background, this paper evaluates whether Vietnam’s current development model is compatible with achieving high-income status by 2045 and identifies the policy shifts required to avoid a middle-income trap, drawing on comparative evidence from Southeast Asia and successful late-industrializers.

2 The Middle-Income Trap

2.1 The Middle-Income Trap and the Experience of Southeast Asia

The concept of the middle-income trap describes a situation in which an economy, after successfully escaping the poverty trap and reaching middle-income status, experiences a prolonged slowdown in growth and fails to converge toward high-income levels. In Tran Van Tho’s framework, the middle-

income trap arises when countries are unable to transform their growth model from one driven primarily by factor accumulation—cheap labor and capital expansion—into one based on productivity growth, technological upgrading, and innovation. As economies develop, rising wages and diminishing returns to capital reduce the effectiveness of traditional growth engines, making structural transformation and sustained growth in total factor productivity (TFP) essential for continued convergence.

A central mechanism underlying the middle-income trap is the turning point in factor markets. At early stages of development, abundant labor allows economies to grow rapidly through labor-intensive industrialization. However, once surplus labor is exhausted, wages begin to rise. At this stage, continued growth requires labor productivity to increase at least as fast as wages in order to maintain international competitiveness. When productivity growth fails to keep pace with rising wages, export competitiveness deteriorates, profit margins shrink, and investment incentives weaken, leading to slower growth.

Closely related is the distinction between input-driven and productivity-driven growth. Middle-income economies that continue to rely heavily on capital accumulation and labor absorption face diminishing returns to investment. Without sufficient improvements in efficiency, technology, and human capital, additional investment generates progressively smaller growth gains. As emphasized by Tran Van Tho, the middle-income trap emerges when economies remain locked into input-driven growth and fail to generate sustained increases in TFP or new sources of dynamic comparative advantage.

The experience of several Southeast Asian economies illustrates these dynamics. Countries such as Thailand and Malaysia experienced rapid growth during earlier stages of development, supported by export-oriented industrialization, foreign direct investment, and integration into global production networks. However, as wages increased and surplus labor was exhausted, these economies began to lose competitiveness in labor-intensive industries while failing to achieve a decisive shift toward higher value-added, skill- and innovation-intensive sectors. Although industrialization

continued, technological upgrading and domestic value addition remained limited, constraining productivity growth and slowing income convergence. As a result, rising labor costs were not matched by corresponding productivity gains, leading to weakened international competitiveness and prolonged middle-income stagnation.

Institutional and structural factors further reinforced this slowdown. In both Thailand and Malaysia, weaknesses in innovation systems, limited research and development capacity, and an insufficient supply of high-skilled labor constrained the transition toward knowledge-intensive activities. At the same time, institutional rigidities, such as imperfect competition, resource misallocation, and the influence of vested interests, reduced incentives for firms to invest in upgrading and innovation. These institutional constraints delayed structural transformation and contributed to growth deceleration before these economies could complete the transition to a high-income growth model.

Taken together, the Southeast Asian experience highlights that the middle-income trap is not the result of a single failure, but rather the interaction of rising factor costs, insufficient productivity growth, weak innovation capacity, and institutional constraints. These cases underscore that sustained growth beyond middle-income levels requires more than continued investment and export expansion; it demands a structural transformation toward productivity-led growth supported by strong institutions, human capital development, and the continuous generation of dynamic comparative advantage.

2.2 Lessons from South Korea

While several Southeast Asian economies experienced prolonged stagnation at the middle-income level, other East Asian countries successfully completed the transition to high-income status. South Korea provides a particularly instructive counterexample. After reaching upper-middle-income status in the late 1980s, Korea advanced to high-income status within little more than a decade, demonstrating that escape from the middle-income trap is possible under appropriate structural and institutional conditions.

A key feature of Korea's successful transition was its decisive shift from input-driven to productivity-led growth. Rather than relying on continued capital accumulation and low labor costs, Korea pursued aggressive industrial upgrading and technological learning. The government played an active role in supporting innovation through industrial policy, while firms, both large conglomerates and small and medium-sized enterprises, invested heavily in research and development. In some cases, R&D expenditure reached levels comparable to those in advanced economies, enabling productivity growth to keep pace with rising wages and thereby preserving international competitiveness.

Human capital development constituted another central pillar of Korea's strategy. As the economy moved into more complex and technology-intensive industries, the education system increasingly emphasized engineering, natural sciences, and technical training. This ensured that innovation efforts could be translated into commercially viable products and processes. By contrast, many middle-income economies that stagnated exhibited persistent mismatches in human capital, with shortages of engineers and technical specialists limiting firms' capacity to upgrade and innovate.

Institutional quality also played a crucial role in Korea's transition. Over time, Korea developed increasingly sophisticated institutions capable of supporting innovation, competition, and efficient resource allocation. While the state maintained a proactive and strategic role, firms were exposed to competitive pressure and hard budget constraints, which disciplined investment decisions and reduced inefficiency. This institutional environment fostered entrepreneurship, technological upgrading, and dynamic shifts in comparative advantage.

The contrast between South Korea and stagnating middle-income economies highlights several important implications for Vietnam. On the one hand, Vietnam faces a more challenging external environment, as it is attempting to upgrade in a global economy characterized by intense competition, rapid technological change, and the dominant presence of

established producers, particularly in East Asia. On the other hand, Vietnam benefits from the ability to learn from the experiences of both successful and unsuccessful predecessors.

3 Middle-Income Trap in Vietnam?

Vietnam’s development trajectory over the past decades has been characterized by rapid growth driven by capital accumulation, labor absorption, and deep integration into global markets. Following the Đổi Mới reforms, the country successfully escaped the poverty trap and attained lower-middle-income status, supported by export-oriented industrialization and substantial inflows of foreign direct investment. However, as Vietnam has entered the middle-income stage, signs of structural strain have become increasingly evident. Growth has moderated, international competitiveness remains fragile, and episodes of macroeconomic instability have raised concerns about the sustainability of the current development model.

A defining feature of Vietnam’s growth pattern is its continued reliance on input-driven expansion. Investment has risen rapidly, with the investment-to-GDP ratio remaining high, yet the efficiency of this investment has declined. Empirical evidence indicates that total factor productivity (TFP), which contributed meaningfully to growth in the early 2000s, has played a negligible role in later periods and even approached zero at times. This pattern suggests diminishing returns to capital accumulation and signals a failure to transition toward productivity-led growth—one of the central characteristics of economies vulnerable to the middle-income trap.

Recent OECD (2025) evidence reinforces this diagnosis. While Vietnam’s productivity growth has been relatively strong compared to some regional peers, absolute productivity levels remain low and capital productivity has continued to decline. These trends reflect persistent misallocation of resources, particularly linked to the dominance of state-owned enterprises and distortions in financial markets, which increasingly constrain the effectiveness of further

investment-led growth.

Resource misallocation thus represents a major structural constraint within Vietnam’s economy. SOEs continue to enjoy preferential access to credit, land, and policy support despite comparatively low efficiency and weak corporate governance. A substantial share of investment has been directed toward SOEs, yet their contribution to output growth has remained disproportionately small. Soft budget constraints and close ties between enterprise management and political authorities have encouraged inefficient and, in some cases, irresponsible investment decisions, leading to capital waste and heightened macroeconomic vulnerability as stated in Tran (2013b). In contrast, private firms—particularly small and medium-sized enterprises—face persistent disadvantages in accessing finance and land, limiting their capacity to innovate, expand, and compete internationally.

Vietnam’s external sector further reflects the limitations of the current growth model. Although exports have expanded rapidly, the export structure remains heavily concentrated in labor-intensive manufacturing with high import content. Participation in global value chains has not translated into substantial domestic value addition, as production often remains focused on assembly activities relying on imported intermediate inputs. This structure has contributed to persistent trade imbalances and exposes Vietnam to external shocks and competitive pressure from regional producers, particularly China as discussed by Van Can (2024). Without upgrading toward higher value-added and technology-intensive tasks, Vietnam risks remaining locked into a low-margin position within global production networks.

Human capital constraints compound these structural weaknesses. As wages rise and demographic advantages gradually erode, the low-wage growth model becomes increasingly untenable. Yet Vietnam continues to face shortages of skilled and professional labor, particularly in engineering, technology, and digital fields. The education and training system has not fully adjusted to the requirements of an innovation-driven economy, limiting the economy’s capacity to absorb advanced technologies and attract high-quality

investment. Labor market rigidities, including limited mobility between rural and urban areas and across sectors, further slow structural transformation.

Moreover, Vietnam's window for labor-intensive growth is time-bound. Demographic trends point to a gradual aging of the population, implying that the demographic dividend which supported past growth will weaken over the coming decades. This heightens the urgency of shifting toward productivity-driven growth before rising dependency ratios further constrain economic expansion. OECD projections suggest that population aging will accelerate, placing additional pressure on public finances, labor supply, and productivity growth, thereby narrowing the time window for successful structural transformation.

Institutional quality constitutes an additional and reinforcing challenge. Weaknesses in governance, corporate oversight, transparency, and factor market development increase business costs and uncertainty, reducing incentives for firms to invest in innovation and upgrading. Distortions in land and capital markets, combined with the protection of vested interests, hinder efficient resource allocation and delay necessary reforms. These institutional constraints reinforce input-driven growth patterns and reduce the economy's responsiveness to changing competitive conditions.

If Vietnam's structural and institutional constraints remain unaddressed, the country faces a substantial risk of following the trajectory of other Southeast Asian middle-income economies that experienced prolonged growth stagnation. Rising wages unaccompanied by commensurate productivity gains, declining returns to capital accumulation, limited innovation capacity, and weak domestic value creation within global value chains threaten to slow growth before Vietnam attains high-income status. Under such conditions, sustaining the growth rates required to meet the 2045 income target would become increasingly difficult, and potentially unattainable.

At the same time, Vietnam has not yet exhausted its development potential. The economy continues to benefit from favorable initial conditions, including demographic scale, a strategic geographic position, and deep integration into

global markets. Realizing these advantages, however, requires a decisive shift away from an input-driven growth model toward productivity-led development. Without reforms that strengthen total factor productivity growth, upgrade human capital, improve institutional quality, and correct persistent resource misallocation, particularly through meaningful reform of SOEs, Vietnam’s current development trajectory is more likely to converge toward middle-income stagnation than toward high-income status.

Comparative experience from Asia underscores that escape from the middle-income trap is neither automatic nor determined solely by headline growth rates. Rather, it requires a deliberate transformation of the growth model, supported by institutional reform, innovation, and sustained investment in human capital. Whether Vietnam can implement such changes within the remaining demographic and structural window will ultimately determine the feasibility of achieving high-income status by 2045.

4 A Second Đổi Mới?

If Vietnam is to avoid a middle-income trap and achieve high-income status by 2045, incremental adjustments to existing policies will not be sufficient. Instead, the literature increasingly points toward the need for a *Second Đổi Mới*, a new phase of reform focused on transforming the quality of growth rather than expanding its scale. While the first Đổi Mới successfully liberalized markets, mobilized labor, and integrated Vietnam into the global economy, the country’s current stage of development requires a distinct reform agenda centered on productivity, innovation, and institutional quality. For example, Doan et al. (2020) examines several plausible development scenarios for Vietnam’s economy in the post-2020 period.

Following Tran Van Tho’s analytical framework, a feasible *Second Đổi Mới* must combine three interrelated elements: (i) stronger research and development efforts alongside higher-quality human resources, (ii) policies that support a dynamic shift in comparative advantage toward skill- and

technology-intensive activities, and (iii) institutional reforms that foster a competitive and innovative private sector while reducing persistent resource misallocation. Together, these elements address the core structural weaknesses underlying Vietnam’s current growth model.

A first priority of this reform phase is a decisive shift from input-driven to productivity-led growth. Vietnam’s reliance on capital accumulation and labor absorption has reached diminishing returns, as reflected in declining investment efficiency and weak total factor productivity growth. Sustained convergence therefore requires growth to be driven increasingly by technological adoption, innovation, and improvements in the efficiency of capital and labor use. Policies that promote digital transformation, facilitate the diffusion of advanced technologies, and strengthen incentives for research and development are essential to raising productivity across the economy. Importantly, productivity gains must not be confined to frontier industries alone, but must also arise from upgrading existing manufacturing and service activities.

Institutional reform, particularly of SOEs, constitutes a second critical pillar of a *Second Đổi Mới*. Continued preferential treatment of SOEs has contributed to resource misallocation, inefficient investment, and weakened competitive pressures. Reform efforts should therefore focus on imposing hard budget constraints, strengthening corporate governance, and ensuring equal access to finance, land, and market opportunities across ownership types. Exposing SOEs to genuine market competition would improve investment discipline and facilitate the reallocation of resources toward more productive private firms, especially small and medium-sized enterprises, which play a central role in innovation and industrial upgrading.

A third priority concerns human capital development and labor market reform. Sustained productivity growth requires a workforce equipped with higher-level technical, engineering, and digital skills. Vietnam’s education and training systems must therefore be reoriented toward the needs of a technology- and knowledge-intensive economy. Expanding STEM education, strengthening

technical and vocational training, and investing in reskilling and upskilling programs are essential for supporting industrial upgrading. In parallel, reforms that enhance labor mobility—particularly between rural and urban areas and across sectors—would facilitate the reallocation of labor from low-productivity activities into higher-productivity industries.

Upgrading Vietnam’s position within global value chains represents a fourth policy challenge. Although export growth has been robust, domestic value addition remains limited due to heavy reliance on imported intermediate inputs and the dominance of assembly activities. A second *Đổi Mới* should therefore prioritize deeper linkages between foreign-invested and domestic firms by supporting local supplier development and encouraging technology transfer. Targeting quality foreign direct investment—defined by its potential to generate spillovers, enhance skills, and foster innovation—would help shift Vietnam from quantity-driven to quality-driven integration into the global economy as argued in Oikawa (2023).

At the same time, recent forward-looking assessments, as in World Bank (2021), emphasize that industrial upgrading will increasingly be constrained by energy and environmental considerations. Vietnam’s rapid growth has been accompanied by rising electricity demand and continued reliance on coal-based power generation, raising concerns about energy security and emissions. Without progress toward a cleaner, more reliable energy mix, the sustainability of productivity-led industrial upgrading toward 2045 may be undermined.

Beyond sectoral and technological reforms, improving institutional quality and governance remains essential for sustaining reform momentum. High-income transitions require institutions capable of supporting innovation, competition, and long-term investment. Strengthening transparency, regulatory quality, and policy coordination would reduce uncertainty and lower business costs, thereby encouraging firms to invest in upgrading and research. As emphasized in the literature, institutional reform is not merely a supporting condition but a central determinant of whether productivity-enhancing reforms succeed.

The global environment confronting Vietnam is structurally more challenging than that faced by earlier late industrializers. Rising geo-economic fragmentation, rapid automation, and tightening climate-related trade regulations reduce the space for traditional export-led industrialization. In this context, delaying reforms increases the risk of premature deindustrialization and lock-in to low value-added activities. A *Second Đổi Mới* must therefore be forward-looking, anticipating shifts in global demand, technology, and climate policy rather than reacting ex post to declining competitiveness.

While the existing literature rightly emphasizes the importance of macroeconomic stability and well-functioning institutions, these conditions alone may be insufficient for Vietnam to achieve high-income status by 2045. Given the limited time horizon and Vietnam’s current stage of development, additional and more immediate policy priorities deserve attention.

First, corruption remains a significant constraint on economic upgrading. Although corruption is not unique to Vietnam, recent scandals involving state-owned enterprises and large infrastructure projects suggest persistent weaknesses in governance and accountability. Such distortions can hinder growth by misallocating investment toward politically connected actors rather than the most productive firms, thereby slowing technological upgrading and innovation. Institutional reform is inherently gradual, and relying solely on long-term improvements risks underestimating the urgency imposed by Vietnam’s demographic transition.

Vietnam is currently benefiting from a relatively young and increasingly educated workforce, but this demographic window will not remain open indefinitely. Consequently, policy must focus on leveraging this momentum through immediate investments in human capital, innovation capacity, and research and development. In this regard, Vietnam may draw lessons—though not institutional blueprints—from South Korea’s experience, where targeted industrial policies and sustained investment in technology facilitated a successful transition toward higher value-added manufacturing, particularly in electronics. Identifying and supporting potential breakthrough sectors may

be crucial for Vietnam to avoid stagnation at middle-income levels.

A further constraint relates to Vietnam’s political and institutional framework. While rapid growth has been achieved under the current system, transitioning toward a more competitive, innovation-driven economy requires credible policy commitments, transparent regulation, and reduced discretionary intervention. These requirements are more difficult to meet in a system characterized by concentrated political authority and close state–business ties. Although political liberalization is neither automatic nor sufficient for development, limited openness may restrict firm entry, competition, and creative destruction—all of which are essential for productivity growth at higher income levels.

An additional challenge insufficiently addressed in the literature is outward migration. A substantial number of young Vietnamese pursue work or education abroad, often sending remittances that support households and local economies. While this has positive short-term effects, return migration remains limited, raising concerns about long-term human capital loss. Qualitative observations from rural areas suggest increasing depopulation, with entire villages experiencing out-migration of working-age adults. Without policies that incentivize return migration and knowledge transfer, Vietnam risks weakening the very labor force needed to sustain economic upgrading, particularly in the context of declining fertility and population aging.

Finally, tourism has emerged as an important source of foreign income and urban growth, especially in cities such as Ho Chi Minh City. However, rising tourism-driven demand has also contributed to higher living costs, placing pressure on local residents whose wages have not increased proportionally. While tourism offers opportunities, its developmental impact depends on how revenues are reinvested. Strategic use of tourism income—such as financing urban infrastructure, skills training, and local enterprise development—could help transform short-term gains into long-term productivity improvements.

Taken together, a *Second Đổi Mới* implies a comprehensive reorientation of Vietnam’s development strategy. Rather than maximizing growth through

investment expansion, policy must focus on improving the quality of growth by raising productivity, upgrading skills, strengthening institutions, and fostering innovation. Without such reforms, Vietnam risks replicating the middle-income stagnation observed in parts of Southeast Asia. With them, however, Vietnam retains a realistic opportunity to sustain convergence and achieve high-income status by 2045.

5 Conclusion

Vietnam’s ambition to attain high-income status by 2045 represents both a symbolic milestone and a profound economic challenge. Having successfully escaped the poverty trap through the Đổi Mới reforms and decades of rapid, input-driven growth, Vietnam now stands at a critical juncture in its development trajectory. As the country enters the middle-income stage, the traditional drivers of growth—cheap labor, capital accumulation, and export-led industrialization—are increasingly losing effectiveness. The central question is therefore no longer whether Vietnam can continue to grow, but whether it can sustain growth of sufficient quality to achieve continued convergence toward high-income levels.

This paper has argued that, under its current development model, Vietnam faces a tangible risk of falling into a middle-income trap. Comparative evidence from Southeast Asia demonstrates that early growth success does not guarantee sustained convergence. Economies such as Thailand, Malaysia, and the Philippines experienced prolonged stagnation after reaching middle-income status due to their inability to transition from input-driven expansion toward productivity-, innovation-, and skill-based growth. These experiences underscore that middle-income stagnation is not a temporary slowdown, but the outcome of persistent structural and institutional constraints that hinder the creation of new comparative advantages.

Vietnam exhibits several of the warning signs emphasized in the middle-income trap literature. Growth has become increasingly reliant on investment

expansion, while total factor productivity growth has weakened. Resource misallocation, particularly through the privileged position of state-owned enterprises, has reduced investment efficiency and constrained the development of a dynamic domestic private sector. At the same time, Vietnam's participation in global value chains remains concentrated in assembly activities with low domestic value added, limiting technological learning and productivity spillovers. These challenges are compounded by skill shortages, institutional weaknesses, demographic aging, and rising energy and environmental constraints, all of which complicate the transition toward a higher-quality growth model.

Despite these challenges, Vietnam's 2045 objective remains achievable, but not automatic. The analysis suggests that success depends on the implementation of a comprehensive *Second Đổi Mới* focused on transforming the foundations of growth. This requires a decisive shift toward productivity-led development through technological adoption and innovation, deep institutional reform, particularly of state-owned enterprises, and sustained investment in human capital. Equally important are policies that promote upgrading within global value chains, strengthen linkages between foreign-invested and domestic firms, and improve governance and regulatory quality to support efficient resource allocation.

Ultimately, Vietnam's path to high-income status will depend on whether policymakers can overcome entrenched structural and political economy constraints and reorient the development strategy toward long-term productivity and competitiveness. The experiences of both successful and stalled Asian economies demonstrate that middle-income transitions are neither inevitable nor impossible. With timely and credible reforms, Vietnam retains a realistic opportunity to avoid middle-income stagnation and complete its transformation into a high-income economy by 2045. Without such reforms, however, the country risks repeating the trajectory of regional peers whose early growth success gave way to prolonged stagnation.

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The content of the document was written by the author. ChatGPT was used solely for assistance with grammar correction, stylistic refinement, and structural organization; all substantive ideas, interpretations, and conclusions are the author's own. The main analysis and conclusion build on material prepared for the third presentation. In addition, the policy recommendation subsection was expanded to provide a more comprehensive discussion than in the previously presented content.